EXECUTIVE SUMMARY

I. Introduction

The Municipality of Piat was founded on May 1, 1610 and got its name probably from the word "APIYAT" (meaning message) as this was the predominant art of healing during those times and from the native word "PIA", which means goodness, usefulness, good health or pleasant looks. The old name of the town is "PIAS" as the name was engraved in the old bells of Sto. Domingo Church. The town proper is nestled in a plateau about 42 kilometers northeast of the capital town of Cagayan Province – Tuguegarao City.

The Commission on Audit has adopted a risk-based audit approach that aligns the audit process more closely with the government's needs to improve the governance structure of agencies, particularly in the area of financial reporting; provides the users of the financial statements a higher level of assurance that agency's processes are designed and operating effectively; enables auditors to check compliance of agency with laws, rules and regulations and determine whether related compliance risks are properly addressed; strengthens accountability in the agencies; and recommends value-added deliverables and measures to improve the efficiency and effectiveness of government operations noted in the course of the financial audit.

II. Scope and Objective of the Audit

The audit covered the accounts and operations of the Municipality of Piat (LGU Piat) for CY 2024 and was aimed at determining whether management presented fairly the financial statements of the LGU in adherence to the generally accepted accounting principles, whether prevailing laws, rules and regulations have been complied with and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position and the results of operations, of the LGU Piat for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Accounts	2024	2023	Increase (Decrease)
Financial Position			
Total Assets	P 376,184,298.61	P 407,526,968.97	P (31,342,670.36)
Liabilities	P 76,338,966.99	P 144,191,481.36	P (67,852,514.37)
Total Government Equity	P 299,845,331.62	P 263,335,487.61	P 36,509,844.01

Accounts	2024	2023	Increase (Decrease)
Results of Operations			
Total Income	P 164,101,970.71	P 148,284,869.78	P 15,817,100.93
Total Expenses	P 127,361,599.61	P 124,193,154.50	P 3,168,445.11
Net Income	P 36,740,371.10	P 24,091,715.28	P 12,648,655.82

IV. Operational Highlights

The LGU Piat is headed by the Municipal Mayor, Honorable Leonel C. Guzman, and Vice-Mayor, Honorable Reymundo Villacete III. For CY 2024, the LGU had a total of 166 personnel complement, with 81 permanent, 12 elective, 4 co-terminus, and 69 job order status.

The following infrastructure projects of the LGU Piat were completed in CY 2024:

Projects	Location	Total Cost Incurred
Repair and Improvement of Legislative Building	Poblacion 02, Piat	P 999,049.00
Concreting of Farm to Market Road	Aquib, Piat	923,687.00
Concreting of Farm to Market Road	Warat, Piat	5,938,679.44
Provision of Renewable Energy Based Electrification	Villarey, Piat	1,799,360.64
Concreting of Farm to Market Road	Warat, Piat	5,938,679.44
Construction of Barangay Health Station	Villarey, Piat	999,045.14
Construction of Vehicle Washing Facility	Sanitary Landfill	1,483,769.55
Construction of Barangay Hall (Phase I)	Poblacion 01, Piat	497,815.36
Concreting of Farm to Market Road	Calaoagan, Piat	2,604,632.40
Concreting of Farm to Market Road	Maguilling, Piat	3,600,752.28
Opening w/Concreting of Road	Catarauan, Piat	5,946,665.85
Concreting of Farm to Market Road	Minanga	5,595,093.00
Concreting of Farm to Market Road	Villarey, Piat	4,143,508.11
Provision of Renewable Energy Based Electrification	Maguilling, Piat	2,700,794.89
Rehabilitation/Improvement of Level III Potable Water System	Minanga, Piat	995,591.53
Opening w/Concreting of Road	Sta. Barbara, Piat	7,201,501.54
Provision of Renewable Energy Based Electrification	Sto. Domingo, Piat	2,346,193.94
Concreting of Road	Sto. Domingo, Piat	493,579.08

Projects	Location	Total Cost Incurred
Concreting of Road Shoulder	Poblacion 02, Piat	496,174.59
Total		**P 54,704,572.78**

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fair presentation of the financial statements of the LGU Piat for the year-ended December 31, 2024, due to: *(a) misclassification of the account Other Maintenance and Operating expenses, totaling P30.703 million, which resulted in the overstatement of the Other MOE account and a corresponding understatement of the affected specific MOOE and asset accounts ; and (b) misstatement of the Property, Plant and Equipment (PPE) accounts amounting to P6.850 million which led to overstatement of the PPE account and understatement of semi-expendable account.*

VI. Summary of Significant Audit Observations and Recommendations

The significant audit observations and recommendations for CY 2024 other than the bases for the modified opinion that needs immediate attention and action by the LGU Piat are as follows:

1. **Monthly Bank Reconciliation Statements (BRS) are not prepared for the bank accounts maintained by the LGU delaying the identification of discrepancies, increasing the risks of financial misstatements and undermines accurate financial reporting and decision-making.**

   We recommended that Management cause the preparation and submission of the monthly BRS to ensure timely resolution of discrepancies, improved accuracy of financial records, and adherence to regulatory guidelines.

2. **Receivable accounts totaling P18.586 million as at December 31, 2024 were not supported with Subsidiary Ledgers (SL) affecting collection efficiency and the accuracy, completeness and fair presentation of the receivable accounts in the financial statements.**

   We recommended that Management instruct the Municipal Accountant to maintain SLs for all receivable accounts to enhance the collection efficiency of the LGU and to establish the accuracy, completeness and fair presentation of the receivable accounts in the financial statements.

3. **Purchases of various supplies, goods, drugs and medicines for CY 2024 totaling to P7.635 million were recorded as outright expenses, instead of being**

initially recognized as inventory and expensed only upon actual issuance to end-user, increasing the risk of misstatement in the inventory and related accounts and potential loss or misuse of inventory.

We recommended that Management require the Municipal GSO and the Municipal Accountant to strictly comply on the recognition of inventory and related inventory expense, to ensure reliable financial reporting, and strengthen internal control over the receipt, issuance, and utilization of inventories.

4. **Thirty-six (36) programs, projects and activities (PPAs) with a total cost of P29.184 million funded under the 20% DF were not implemented by the LGU, preventing the attainment of the desirable socio-economic developmental and environmental management outcomes.**

   We recommended that the Management maximize the utilization of the 20% DF by accelerating the implementation of pending projects, identifying the root causes of non-implementation, and developing practical, targeted solutions to ensure the effective execution of developmental initiatives. Furthermore, management should be diligent, thorough, and precise in evaluating the timely completion of each project to ensure their successful implementation within the targeted year.

5. **The Local Disaster Risk Reduction and Management (LDRRM)-Mitigation Fund for CY 2024 and the previous years' unexpended LDRRMF balances totaling P19.597 million were not optimally utilized, evidenced by a low utilization rate of 36.41% or P7.134 million as of December 31, 2024, affecting the LGU's overall disaster preparedness and response capability.**

   We recommended that the Management:

   a. ensure the timely and proper utilization of the LDRRMF by strengthening the planning, implementation, and monitoring mechanisms for disaster risk reduction and management programs, to enhance the LGU's preparedness and response capabilities; and

   b. require the concerned personnel to prepare the LDRRMF Investment Plan annually following the prescribed format for the effective monitoring and evaluation of the utilization of LDRRMF.

VII. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance January 1, 2024	Issued During the Year	Settlement During the Year	Ending Balance, December 31, 2024	% of Settlement
Suspensions					
Prior Years	-	-	-	-	0.00%

Particulars	Beginning Balance January 1, 2024	Issued During the Year	Settlement During the Year	Ending Balance, December 31, 2024	% of Settlement
Current Year	-	-	-	-	0.00%
Total	-	-	-	-	0.00%
Disallowances					
Prior Years	897,303.29	-		897,303.29	0.00%
Current Year	-	-	-	-	0.00%
Total	**897,303.29**	-		**897,303.29**	0.00%
Charges					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	-	-	-	-	0.00%

VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2023 Annual Audit Report are summarized as follows:

Status of Implementation	Number	Percentage
Fully Implemented	5	35.71%
Not Implemented	9	64.29%
Total	**14**	**100.00%**